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CASE #	CASE NAME	HEARING NAME
CVRI2501712	HICKSON VS HUTH	DEMURRER
CVRI2501712	HICKSON VS HUTH	MOTION TO STRIKE

Tentative Ruling:

Defendant Eyad Yaser Abdeljawad's Demurrer is sustained as to the constructive trust (3rd), real estate fraud (5th), and fraud (6th) causes of action without leave to amend; as to the quiet title (1st), rescission (2nd), declaratory relief (4th), and cancellation of deed (7th) causes of action, it is overruled.

The motion to strike as to Plaintiffs' claim for punitive damages is granted; it is denied as to the remainder.

REQUEST FOR JUDICIAL NOTICE

Abdallah asks the Court to take judicial notice of various documents from the Probate Action and three recorded deeds.

Pursuant to Evid. Code § 452(d), a court can take judicial notice of court documents. However, the Court may not take judicial notice of the truth of the matters stated in those documents. (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.) Additionally, judicial notice of recorded deeds may be granted on "the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity." (*Poseidon Development, Inc. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1118 [judicial notice properly taken of the legal effect of assignment of deed of trust].) Therefore, the Court grants Abdallah's request for judicial notice of the documents as to their existence, but not the truth of the matter. (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Statute of Limitations

Abdallah argues that all of Plaintiffs' claims are fraud based, and because Plaintiffs had notice of the alleged wrongdoing in 2020, the claims are barred by the statute of limitations. (P&As iso Demurrer, p. 6:4-25.)

A demurrer based on a statute of limitations defense must clearly and affirmatively show that the claim is barred. (*Lockley v. Law Office of Cantrell, Green, Kekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 881.) "It is not sufficient that the complaint might be barred." (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324.) "To determine the statute of limitations which applies to a cause of action it is necessary to identify the nature of the cause of action, i.e., the "gravamen" of the cause of action. [Citations.] '[T]he nature of the right sued upon and not the form of action nor the relief demanded determines the applicability of the statute of limitations under our code.' " (*Hensler v. City of Glendale* (1994) 8 Cal.4th 1, 22–23.) "The discovery rule provides that the accrual date of a cause of action is delayed until the plaintiff is aware of her injury and its negligent cause." (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1109.) "A plaintiff is held to her actual knowledge as well as knowledge that could reasonably be discovered through investigation of sources open to her." (*Ibid.*)

In the SAC, Plaintiffs allege that Defendants were delayed in discovery the fraudulent deed because, among other things, Defendants "intentionally concealed the transfer and its defects from Plaintiffs by proceeding without notice, avoiding required probate authorization, and recording instruments designed to obscure the true nature and invalidity of the conveyance. (SAC at ¶¶ 83-84, 100-101.) Based on the allegations of the SAC, it is not clear that Plaintiffs' claims are barred by the statute of limitations.

Res Judicata/Collateral Estoppel

Abdallah also argues that Plaintiffs' claims are barred by the doctrines of res judicata and collateral estoppel because the issue of ownership of the Rubidoux Property was litigated to finality in the Probate Action. (P&As iso Demurrer, pp. 8:13-9:3.)

A plaintiff cannot "split" a cause of action into successive suits against the same person (See, *Hamilton v. Asbestos Corp., Ltd.* (2000) 22 Cal.4th 1127, 1145.) The doctrine of res judicata "operates as a bar to the maintenance of a second suit between the same parties on the same cause of action." (*Murphy v. Murphy* (2008) 164 Cal.App.4th 376, 398.) The doctrine of res judicata gives certain conclusive effect to a former judgment in subsequent litigation involving the same controversy and encompasses two aspects – claim preclusion and issue preclusion. (*Boeken v. Philip Morris USA, Inc.* (2010) 48 Cal.4th 788, 797.) Claim preclusion prevents relitigation of the same cause of action in a second suit between the same parties or parties in privity with them. (*Ibid.*; *Gabriel v. Wells Fargo Bank, N.A.* (2010) 188 Cal.App.4th 547, 556.) Issue preclusion, commonly known as collateral estoppel, precludes relitigation of issues argued and decided in prior proceedings. (*Boeken, supra*, 48 Cal.4th at 797; *Gabriel, supra*, 188 Cal.App.4th at 556.) "The prerequisite elements for applying the doctrine to either an entire cause of action or one or more issues are the same: (1) a claim or issue raised in the present action is identical to a claim or issue litigated in a prior proceeding; (2) the prior

proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding.” (*Boeken, supra*, 48 Cal.4th at 797.) “Res judicata bars the litigation not only of issues that were actually litigated in the prior proceeding, but also issues that could have been litigated in that proceeding.” (*Ibid* [emphasis added].)

As a cause of action is framed by the facts in existence when the underlying complaint is filed, res judicata *is not a bar to claims that arise after the initial complaint is filed*. ... For this reason, the doctrine may not apply when “there are changed conditions and new facts which were not in existence at the time the action was filed upon which the prior judgment is based. ... *This exception to the doctrine encompasses claims based on rights that arise after the filing of the complaint in the first action, but before judgment is entered*. ... As the court explained in *Allied Fire Protection*: These rights may be asserted in a supplemental pleading, but if such a pleading is not filed a plaintiff is not foreclosed from asserting the rights in a subsequent action. ... The general rule that a judgment is conclusive as to matters that could have been litigated does not apply to new rights acquired pending the action which might have been, but which were not, required to be[,] litigated

...

(*Planning & Conservation League v. Castaic Lake Water Agency* (2009) 180 Cal.App.4th 210, 227–228 [internal quotations and citations omitted] [emphasis added].)

First, it is unclear from the Probate Action documents provided by Abdallah exactly what issues were litigated in that action, so the Court is unable to determine if res judicata/collateral estoppel applies to any of Plaintiffs’ claims in this action. Furthermore, it is clear from the transcript of which Abdallah sought judicial notice, that potential claims against him related to the improper receipt of proceeds from the sale of the Rubidoux Property arose during the Probate Action, not before. (RFJN, Ex. A, pp. 10:13-11:3, 12:10-14:7.) As res judicata or collateral estoppel do not bar claims that arise after the filing of the underlying complaint, these claims against Abdallah are not barred. (*Planning & Conservation League, supra*, 180 Cal.App.4th at 227-228.)

Litigation Privilege

Pursuant to Civ. Code §47(b), a publication in any judicial proceeding is privileged. The privilege applies to any communication: “(1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action.” (*McNair v. City and County of San Francisco* (2016) 5 Cal.App.5th 1154, 1162.) The privilege applies to conduct or publications occurring outside the courtroom. (*O’Keefe v. Kompa* (2000) 84 Cal.App.4th 130,134.) “It is not limited to statements made during a trial or other proceedings, but may extend to steps taken prior thereto, or afterwards.” (*Rusheen v. Cohen* (2006) 37 Cal.4th 1048, 1057.) The privilege applies to all torts other than malicious prosecution. (*Action Apartment Assn., Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1241.) “The litigation privilege is absolute, which means

it applies regardless of the existence of malice or intent to harm.” (*Wise v. Thrifty Payless, Inc.* (2000) 83 Cal.App.4th 1296, 1302.)

Abdallah argues that the litigation privilege bars Plaintiffs’ claims because they are based on his representation of Thelma in the Probate Action. (P&As iso Demurrer, pp. 7:22-8:10.) In the SAC, Plaintiffs allege that Abdallah assisted Thelma in selling the Rubidoux Property despite knowing she lacked authority and received a portion of the sale proceeds. (SAC at ¶¶ 30-31.) Abdallah fails to show that these actions were made in connection with the Probate Action or to achieve the objects of that litigation. (See, *McNair, supra*, 5 Cal.App.5th at 1162.) Therefore, based on the allegations of the SAC, it does not appear that the litigation privilege bars Plaintiffs’ claims.

CIV. CODE § 1714.10

Abdallah contends that Plaintiffs’ claims fail because Plaintiffs did not obtain a pre-filing order from the Court to assert claims against him. (P&As iso Demurrer, p. 7:3-20.)

Civ. Code § 1714.10 states: “No cause of action against an attorney *for a civil conspiracy* with his or her client arising from any attempt to contest or compromise a claim or dispute, and which is based upon the attorney’s representation of the client, shall be included in a complaint or other pleading unless the court enters an order allowing the pleading that includes the claim for civil conspiracy to be filed after the court determines that the party seeking to file the pleading has established that there is a reasonable probability that the party will prevail in the action.” (Civ. Code § 1714.10(a) (emphasis added).) The causes of action asserted against Abdallah are not for civil conspiracy, but for fraud and equitable relief, and therefore, Civ. Code § 1714.10 does not apply. (See, *Klotz v. Milbank, Tweed, Hadley & McCloy* (2015) 238 Cal.App.4th 1339, 1349 [failure to obtain pre-filing approval of conspiracy claims does not warrant dismissal of other claims not requiring pre-filing approval].) Furthermore, Civ. Code § 1714.10(c) states that “This section shall not apply to a cause of action against an attorney for a civil conspiracy with his or her client, where (1) the attorney has an independent legal duty to the plaintiff, or (2) the attorney’s acts go beyond the performance of a professional duty to serve the client and involve a conspiracy to violate a legal duty in furtherance of the attorney’s financial gain. In explaining the application of this exception, the court in *Klotz, supra*, stated:

The first exception to section 1714.10 the independent duty exception, obviously speaks to a relationship beyond that of attorney-client. ... An independent legal duty may also arise when an attorney engages in conduct that goes way beyond the role of [a] legal representative. ... Attorneys are expected to stay within the bounds of law in representing their clients and advising about an appropriate course of action... . Counsel who circumvent established legal channels to accomplish a desired result, participating with the client in a scheme to dispossess the other spouse of his or her claimed property or possessory rights, are not performing the “normal services of an attorney.” ...

Thus, an attorney has an independent legal duty to refrain from defrauding nonclients. ...

The second exception applies to actions taken in furtherance of the attorneys' financial gain and means that through the conspiracy, the attorney derived economic advantage over and above monetary compensation received in exchange for professional services actually rendered on behalf of a client.

(*Klotz, supra*, 238 Cal.App.4th at 1351 [internal quotations and citations omitted].)

In the SAC, Plaintiffs allege that Abdallah assisted Thelma in selling the Rubidoux Property despite knowing she lacked authority, and that Abdallah received a portion of the sale proceeds. (SAC at ¶¶ 30-31.) This is sufficient to show the exception set forth in Civ. Code § 1714.10(c) applies and a pre-filing order was unnecessary.

FRAUD (5TH AND 6TH) CAUSES OF ACTION

Plaintiffs assert two fraud causes of action, one for real estate fraud and one for fraud, generally. (SAC at ¶¶ 69-102.)

The elements of fraud (real estate or otherwise) are (1) misrepresentation of a material fact (consisting of a false representation, concealment, or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445; *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 72-73.) Fraud actions are subject to strict requirements of particularity in pleading. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216.) Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (*Stansfield, supra*, 220 Cal.App.3d at 73.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (See, *Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 782.) The rationale for this "strict requirement of pleading" is not merely notice to the defendant, but because "allegations of fraud involve a serious attack on character, and fairness to the defendant demands that he should receive the fullest possible details of the charge in order to prepare his defense." (*Committee on Children's Television, supra*, 35 Cal.3d 197, 216.)

In both causes of action, Plaintiffs allege that Thelma made false and material representations regarding ownership of the Rubidoux Property and her authority to convey it. (SAC at ¶¶ 71, 88.) They also allege that Defendants knew of the ownership conflict and that Thelma did not have authority to transfer the Property, and concealed the transfer and its defects from Plaintiffs to prevent Plaintiffs from promptly intervening to protect the Rubidoux Property. (SAC at ¶¶ 72-75, 78-79, 83-84, 98, 100-101.) To maintain a cause of action for fraud through nondisclosure or concealment of facts,

there must be allegations demonstrating that the defendant was under a legal duty to disclose those facts. (*Los Angeles Memorial Coliseum Commission v. Insomniac, Inc.* (2015) 233 Cal.App.4th 803, 831.)

Here, however, Plaintiffs fail to allege any misrepresentations made by Abdallah, and fail to allege facts showing Abdallah had a duty to disclose any facts about the Rubidoux Property to Plaintiffs. Accordingly, the allegations are insufficient to state a cause of action for fraud.

QUIET TITLE (1ST), RECISSION (2ND), DECLARATORY RELIEF (4TH), AND CANCELLATION OF INSTRUMENTS (7TH) CAUSES OF ACTION

Abdallah contends that the equitable causes of action for quiet title, recission, declaratory relief, and cancellation of instrument all fail “because Plaintiffs cannot establish a present property interest capable of equitable protection.” (P&As iso Demurrer, pp. 10:20-12:4.) However, in the SAC, Plaintiffs allege that they are the rightful owners of the Rubidoux Property, and the Myers Defendants purportedly obtained the Property through a fraudulent sale, knowing that Thelma did not have authority to transfer the Property. (SAC at ¶¶ 14-19, 27, 35-39, 46-51, 63-67, 105, 109.) Abdallah disputes these allegations with evidence, but that is improper on a demurrer. The allegations are sufficient, for pleading purposes, to show Plaintiffs have an interest in the Rubidoux Property that they can seek to protect.

CONSTRUCTIVE TRUST

One who gains a thing by fraud, accident, mistake, undue influence, the violation of a trust, or other wrongful act, is, unless he or she has some other and better right thereto, an involuntary trustee of the thing gained, for the benefit of the person who would otherwise have had it. (Cal. Civ. Code §2224) “A constructive trust may be imposed when a party has acquired property to which he is not justly entitled, if it was obtained by actual fraud, mistake or the like, or by constructive fraud through the violation of some fiduciary or confidential relationship.” (*Warren v. Merrill* (2006) 143 Cal. App. 4th 96, 113). A “constructive trust may be imposed in practically any case where there is wrongful acquisition or detention of property to which another is entitled. (*Martin v. Kehl* (1983) 145 Cal.App. 3d 228.) The property that is the subject of the trust must be identifiable property to which defendant has title. (*Michaelian v. State Comp. Ins. Fund* (1996) 50 Cal. App. 4th 1093, 1114.)

Constructive trust “is an equitable remedy, not a substantive claim for relief.” (*PCO, Inc. v. Christensen, Niller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 398; see also *American Master Lease LLC v. Idanta Partners, Ltd.* 225 Cal.App.4th 1451, 1485 [“A constructive trust is not a substantive device but merely a remedy”]; Civ. Code, §§ 2223 and 2224.) In order to demonstrate entitlement to a constructive trust, a party must plead facts constituting the underlying cause of action (i.e., breach of fiduciary duty or fraud) and “specific identifiable property to which defendant has title.” (*Michaelian v. State Comp. Ins. Fund* (1996) 50 Cal.App.4th 1093, 1114.)

Here, since Plaintiffs fail to state a cause of action for fraud against Abdallah, and the breach of fiduciary duty cause of action is not asserted against him, there is nothing to support a constructive trust.

MOTION TO STRIKE

The court may, upon a motion made pursuant to C.C.P. §435:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

(C.C.P. § 436).

Motions to strike can be used to attack the entire pleading, or any part thereof, i.e., even single words or phrases. (C.C.P. § 435; *Baral v. Schnitt* (2016) 1 Cal.5th 376, 393-394; *Warren v. Atchison, T. & S.F. Ry. Co.* (1971) 19 Cal.App.3d 24, 40.) On a motion to strike, as with a demurrer, “the court treats as true the material facts alleged in the complaint, as well as any facts which may be implied or inferred from those expressly alleged.” (*Washington Int’l Ins. Co. v. Sup. Ct.* (1998) 62 Cal.App.4th 981, 984, n. 2.) A motion to strike is the proper vehicle to attack a punitive damages claim where the facts alleged do not rise to the level of fraud, malice or oppression. (C.C.P. §§ 435-436; *Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.)

Abdallah first moves to strike the real property allegations in the SAC, arguing, as he did in the demurrer, that Plaintiffs have no legal right to the Rubidoux Property. (Motion, pp. 3:24-5:5.) Plaintiffs’ allegations that they are the rightful owners of the Rubidoux Property, and the Myers Defendants purportedly obtained the Property through a fraudulent sale, knowing that Thelma did not have authority to transfer the Property, are sufficient to show that Plaintiffs have a legal interest in the Rubidoux Property. (SAC at ¶¶ 14-19, 27, 35-39, 46-51, 63-67, 105, 109.)

Abdallah also moves to strike Plaintiffs’ claim for punitive damages. A plaintiff may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code § 3294(a).) “Malice” means either the defendant intended to cause injury to plaintiff or the defendant’s conduct was “despicable” and carried on with a willful and conscious disregard of the rights and safety of others. (Civ. Code, § 3294(c)(1).) “Oppression” is “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights. (Civ. Code, § 3294(c)(2).) “Despicable conduct” is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*Scott v. Phoenix Schools, Inc.* (2009) 175 Cal.App.4th 702, 715.)

Recovery of punitive damages is predicated on a showing of “[s]omething more than the commission of a tort... There must be circumstances of aggravation or outrage, such as spite or ‘malice’ or a fraudulent or evil motive on the part of defendant, or such

conscious and deliberate disregard for the interests of others that his conduct may be called willful or wonton.” (*Taylor v. Superior Court* (1979) 24 Cal.3d 890, 894-895 [quoting Prosser, *Law of Torts* (4th ed. 1971) §2, at pp. 9-10]; see also *Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328.) Under the 1987 amendments to section 3294 “[t]he statute’s reference to ‘despicable’ conduct seems to represent a new substantive limitation on punitive damage awards. Used in its ordinary sense, the adjective ‘despicable’ is a powerful term that refers to circumstances that are ‘base,’ ‘vile,’ or ‘contemptible.’ [Citation.] As amended to include this word, the statute plainly indicates that absent an intent to injure the plaintiff, ‘malice’ requires more than a ‘willful and conscious’ disregard of the plaintiffs’ interests. The additional component of ‘despicable conduct’ must be found.” (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) “In order to justify an award of punitive damages on this basis, the plaintiff must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences.” (*Taylor, supra*, 24 Cal.3d at 895-896.)

Additionally, claims for punitive damages must be pleaded with particularity as to the facts constituting the alleged egregious conduct. (*G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29; *Grieves v. Sup. Ct.* (1984) 157 Cal.App.3d 159, 166.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872.) Rather, the pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

In the SAC, Plaintiff seek “punitive damages, resulting from Defendants’ fraudulent actions in misrepresenting the ownership status of the Rubidoux Property and executing unauthorized transactions.” (SAC, Prayer at ¶ 10.) There are no factual allegations supporting this prayer, and, as discussed above, Plaintiffs fail to sufficiently state a cause of action for fraud against Abdallah.